1.8.3 International Economics

In the modern world, no country can grow in isolation. Every country is having links with the other countries through foreign capital, investment (foreign direct investment) and international trade.

1.8.4 Public Economics *(Public Finance)*

Public finance is concerned with the income or revenue raising and expenditure incurring activities of the public authorities and with the adjustment of the one with the other. The scope of Public Finance covers Public expenditure, Public revenue, Public debt, Financial administration and federal Finance.

1.8.5 Developmental Economics

The countries have been classified into developed, developing and under developed on the criteria of Per Capita Income, Human Development Index and Happiness Index. The Development Economics deals with features of developed nations, obstacles for development, Economic and Non-economic factors influencing development, various growth models and strategies.

1.8.6 Health Economics

Health Economics is an area of applied economics. It covers health indicators, preventive and curative measures, medical research and education, Rural Health Mission, Drug Price control, Neo natal care, Maternity and Child health, Budgetary allocation for health etc.

1.8.7 Environmental Economics

Depletion of natural resources stock and pollution result from rapid economic development. Hence the need for the study of Environmental Economics which analyse the inter relationship between economy and environment. Environmental Economics is a study of inter disciplinary tools for the problems of ecology, economy and environment.

1.9 Basic Economic Problems

If resources are abundant and wants are so few, then there would be no economic problem. But this situation can never exist. Resources are always scarce and our wants are numerous. Hence in every society certain choices have to be made.

THE ECONOMIC PROBLEM

- Wants,desires;unlimited
- Resources:Scarce
  -Not freely available
- Economic choice
- Economics
  -How people use scarce resources to satisfy unlimited wants

What and how much to produce?

Every society must decide on what goods it will produce are and how much of these it will produce. In this process, the crucial decisions include:

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